

ORIGINAL

PROPERTY SETTLEMENT AGREEMENT

THIS PROPERTY SETTLEMENT AGREEMENT (hereinafter "Agreement") is made and entered into this 14 day of Dec., 1987, by and between REED J. TAYLOR (hereinafter "Husband") and DONNA J. TAYLOR (hereinafter "Wife").

WITNESSETH:

WHEREAS, the parties hereto were married on July 4, 1963, and their three children have reached the age of majority; and

WHEREAS, substantial irreconcilable differences have arisen between the parties and have destroyed the legitimate objects of matrimony, and the parties now seek a dissolution of their marriage; and

WHEREAS, the parties have acquired and accumulated certain community property and community debts during the course of their marriage which they desire to be equitably divided.

NOW, THEREFORE, in consideration of the mutual promises and covenants contained herein, the parties agree as follows:

I. Division of Non-Business Real and Personal Property.

1.1 Transfers to Wife. Husband hereby transfers, assigns and conveys unto Wife, as her sole and separate property, all of his right, title and interest in the items of real and personal property more particularly described on Schedule 1.1, and hereby forever waives any and all rights in and to such property.

1.2 Transfers to Husband. Wife hereby transfers, assigns and conveys unto Husband, as his sole and separate property, all of her right, title and interest in all other real and personal property, tangible or intangible, owned by the community (including, without limitation, the property more particularly

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substantially in accordance with the plan of reorganization reflected in the AIA Reorganization Plan attached hereto as Schedule 2.1. The attached plan may be modified as necessary or desirable, in the judgment of the Businesses' legal counsel and accountants, to minimize tax liabilities and to meet regulatory requirements incident to such reorganization. Wife hereby consents to such reorganization, grants to Husband an irrevocable proxy, coupled with an interest, to vote the community's shares of stock or other voting interests in the Businesses and conveys to Husband all of her right, title and interest in any community dividend or other distribution by any Business from and after September 14, 1987, provided that such dividends or other distributions, in the aggregate, shall not cause the post-reorganization financial condition of Services to differ materially and adversely from the pro forma financial condition projected in the AIA Reorganization Plan.

2.2 Preferred Stock. Services will issue to Wife, as part of the reorganization and in exchange for Wife's community property interest in the Businesses (or assets thereof) transferred to Services, two hundred thousand (200,000) shares of Stated Value Preferred Stock (without par value) of Services. Such Stated Value Preferred Stock shall have the rights and preferences set forth in the Articles of Amendment of the Articles of Incorporation of AIA Services Corporation in substantially the form attached hereto as Schedule 2.2 or as the parties may hereafter agree. Conditioned upon and effective on the business day following the reorganization of the Businesses pursuant to Section 2.1, Husband shall and does hereby transfer to Wife all of his community property interest in the two hundred thousand (200,000) shares of Stated Value Preferred Stock (without par value) of Services issued to Wife in the reorganization.

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2.3 Other Business Interests. Conditioned upon and effective on the business day immediately following the reorganization of the Businesses pursuant to Section 2.1 of this Agreement, Wife shall and does hereby assign, transfer and convey to Husband all of her remaining community property interests in the Businesses except for the Stated Value Preferred Stock of Services to be issued to her pursuant to Section 2.1 of this Agreement; and except for the Stated Value Preferred Stock of Services, all of the community's interest in the Businesses shall hereafter constitute Husband's sole and separate property.

2.4 Lewiston Land Company. As part of the reorganization, Husband shall cause AIA and Lewiston Land Company to revise the note payable by Lewiston Land Company to AIA to provide that the net proceeds of sale of any substantial asset of Lewiston Land Company shall promptly be applied to repay the note payable and that no distributions shall be made to Lewiston Land Company's partners until the note has been repaid in full. In the event of sale of any substantial asset of Lewiston Land Company and the resulting application of net proceeds to repayment of the note, Husband shall cause AIA promptly to transfer such proceeds to Services and shall cause Services promptly to apply such proceeds to the redemption of Stated Value Preferred Stock of Services.

3. Cash Payments. Husband shall make and/or shall cause one or more of the Businesses to make cash payments aggregating Three Hundred Thousand Dollars (\$300,000), payable to the trust account of Wife's attorneys, Givens, McDevitt, Pursley, Webb & Buser, in the amounts of (i) Ninety Thousand and No/100 Dollars (\$90,000) paid on November 9, 1987, (ii) approximately Sixty-Seven Thousand Dollars (\$67,000) due upon execution of this Agreement, (iii) approximately Sixty-Eight Thousand Dollars (\$68,000) due in accordance with Section 4 of this Agreement, and (iv) Seventy-Five Thousand Dollars (\$75,000),

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without interest, due on or before September 14, 1988. Wife shall cause her attorneys to apply these cash payments to the extent necessary to pay all legal, accounting and valuation experts' fees and costs (including those fees and costs itemized on Schedule 3, which Wife shall pay on or before December 31, 1987) incurred by Wife on behalf of herself, the marital community and/or the community's Businesses and deductible in connection with the reorganization of the Businesses, shareholder relations, tax advice and planning, negotiation and determination of alimony and other purposes for which deductions may be taken under applicable federal or state income tax laws. Wife shall cause her attorneys, accountants and other experts to prepare and deliver detailed itemized statements of all services rendered and costs incurred prior to December 31, 1987, and shall furnish copies of such statements to Husband, on or before January 31, 1988, for the purposes of this Section 3. To the extent such payments are made prior to the earlier of January 1, 1988 or the entry of the divorce decree and applied to deductible expenses, they shall be treated as payment of a community debt. To the extent such payments are made by Husband on or after the earlier of January 1, 1988 or the entry of the divorce decree and applied to Wife's deductible expenses, the payments shall be deemed to be made on behalf of Wife, and shall be treated as additional alimony. To the extent any payments under this Section 3 are not deductible, they shall constitute a transfer of community property incident to the parties' divorce, rather than alimony or support payments.

4. Condominium Mortgage to Fund Cash Payment. Husband and Wife will cooperate in obtaining a loan of approximately Sixty-Eight Thousand Dollars (\$68,000), secured by a mortgage or deed of trust on the Salem, Oregon condominium described in Schedule 1.1A (the "Condominium"). The net proceeds

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of this loan shall be disbursed to Wife by the lender, in partial satisfaction of Husband's obligations under Section 3, upon execution of this Agreement (or as soon as thereafter as the loan can be closed). Utilization of the Condominium as security is an accommodation by Wife to facilitate the financing of the division of community property. Wife shall not be liable to repay the loan except to make the monthly debt service payments thereon pursuant to Section 7.3 of this Agreement. Husband shall pay Wife the original principal amount of this loan, without interest, on or before the date of redemption of the Stated Value Preferred Stock of Services; provided however that, if at the date of such payment the loan has not previously been repaid in full or assumed by a third party upon sale of the Condominium, Husband's payment shall be applied first to the full payment of the remaining principal of the loan and thereafter to Wife's. Husband's payment under this Section 4 shall not constitute an alimony or support payment but rather constitutes a transfer of Wife's share of the community property.

5. Alimony. On the first day of each month commencing on October 1, 1987, Husband has paid and shall continue to pay Wife in the form of separate maintenance Eight Thousand Dollars (\$8,000) per month through the earlier of Wife's death or the first day of month in which a decree of divorce is entered in the pending divorce action pursuant to Section 11 of this Agreement. Commencing on the first day of the month after entry of such divorce decree, Husband shall pay Wife alimony in the amount of Seven Thousand Dollars (\$7,000) per month through the earlier of Wife's death or the first day of the month immediately preceding the date of redemption of the Stated Value Preferred Stock issued to Wife pursuant to Section 2.2 of this Agreement. Payments treated as alimony or separate maintenance under this Agreement shall

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be includable in the gross income of Wife and deductible from the gross income of Husband.

6. Division of Retirement Plan Accounts. The parties agree to an equal division of their retirement benefits under the AIA, Inc. 401(k) Profit Sharing Plan and Trust and the Keogh Plan. In order to eliminate the necessity for Husband to maintain the Keogh Plan after the parties' divorce, the parties agree to the following equivalent and substantially equal division and distribution of the retirement benefits, based upon the calculations and assumptions in the attached Schedule 6A:

The balance in Husband's Keogh Plan account shall be distributed in its entirety to Wife. Each of Husband's accounts in the A.I.A., Inc. 401(k) Profit Sharing Plan, valued as of the close of business on September 30, 1987, shall be deemed to have been divided, on a like-kind basis, and to have been segregated into two separate accounts, one for the benefit of Wife and consisting of a 41.4% interest in the Plan account balance, and the other for the benefit of Husband and consisting of a 58.6% interest in the Plan account balance. Wife shall receive, pursuant to a Qualified Domestic Relations Order ("QDRO") in substantially the form attached hereto as Schedule 6B, the value (determined as of the most recent practicable date preceding distribution to Wife by the respective plan administrators pursuant to the QDRO) of the assets allocated to her segregated accounts in the A.I.A., Inc. 401(k) Profit Sharing Plan and the entirety of the balance in the Keogh Plan. Husband's and Wife's segregated accounts in the Profit Sharing Plan shall continue to be jointly managed by the trustee of the plan until the value of the assets in Wife's segregated accounts is distributed to her pursuant to the QDRO. Wife's segregated accounts, like Husband's shall continue to be subject to market forces subsequent to September

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than \$2,500 which is not identified and divided between the parties in this Agreement or its Schedules shall continue to be owned by the parties as tenants-in-common. Either party, upon discovery of the existence of any such community property, may seek an equitable division of that property by the Court, which shall have continuing jurisdiction for that purpose. (For the purpose of this Section 10, all unspecified personal property located at the Lewiston residence or the McCall condominium or AIA's place of business and allocated to Husband under Section 1.2 of this Agreement, and all unspecified personal property located at the Condominium and allocated to Wife under Section 1.1 of this Agreement, shall be deemed to be identified and divided between the parties in this Agreement or its Schedules.) Any community obligation which is not identified and divided between the parties in this Agreement or its Schedules shall be assumed by and constitute the separate property of the party who incurred such obligation.

11. Pending Divorce.

11.1 Court Approval of Agreement. Wife has filed a divorce action in the Second Judicial District for the County of Nez Perce (Case No. 51057). Following reorganization of the Businesses substantially in accordance with the plan attached hereto as Schedule 2.1, this Agreement shall be filed in such divorce action and shall be ratified, confirmed and approved by the Court. Except for the sole purpose of its enforcement, however, this Agreement (including, without limitation, the terms of Sections 3, 5 and 7.3 of this Agreement pertaining to alimony) shall not be modified or modifiable by the Court in the absence of written agreement by both parties. This Agreement shall survive the execution and delivery of any and all of the instruments required by this Agreement.

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11.2 Ground for Divorce. The Court shall enter a judgment and decree granting Wife a divorce on the grounds of the parties' irreconcilable differences.

11.3 Litigation Costs. Each party shall be responsible for paying the attorneys', accountants', experts' and other fees and costs incurred by such party in connection with the pending divorce action and the negotiation and execution of this Agreement, except that: (i) Wife shall pay or shall reimburse Husband for payment of the following witness fees and costs for the preparation for and the taking of the depositions of John Scott, CPA (\$1,011); Linda Garner of Stephens, Inc. (\$3,786.93); and Keith Tucker of Tri-Vest (\$6,690.84); and (ii) Husband shall pay or shall reimburse Wife for payment of the following witness fees and costs for the preparation for and the taking of the depositions of Roger Martell (\$1,025); John Jacques (\$3,041); Coopers & Lybrand (Christy Armstrong (\$2,058.75) and Allen Suderman (\$1,753.75)); Dr. Minard (\$555); and Walker & Associates (Dr. Lenore Walker (\$2,625)). The payments shall be made by each party either to the other party's legal counsel for distribution to the appropriate witnesses or directly to the witness with a copy of the payment documentation provided to the other party's legal counsel.

12. Medical Insurance. To the extent one of the Businesses does not provide group medical insurance coverage for Wife at any time prior to September 14, 1997, Husband shall obtain, at his sole cost, a medical insurance policy providing coverage of Wife, through September 14, 1997, comparable to the coverage provided by AIA's group health insurance policy at the date of this Agreement.

13. Advice of Counsel; Equitable Division of Community Property. Each party has been represented by both tax advisors and legal counsel and is familiar

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15. Releases and Indemnification.

15.1 Mutual Release. In consideration of the division of community property set forth in this Agreement, and except as otherwise specifically provide in this Agreement, (i) Wife does hereby release, remise, acquit and forever discharge Husband, Services, AIA, Lewiston Land Company, Taylor Brothers Aircraft, AIA Travel Services, Inc. and AIA Bancard Services Corporation, together with their directors, officers, employees, agents, representatives, successors and assigns, from any and all liabilities, debts, obligations, costs, expenses, claims, contracts, promises, controversies, demands, damages, representations, interests, equities, losses, actions and causes of action, of whatsoever kind or nature, whether known or unknown, absolute or contingent, liquidated or unliquidated, arising or resulting from or in connection with the parties' marriage or the community assets or debts allocated to Wife under this Agreement; and (ii) Husband does hereby release, remise, acquit and forever discharge Wife from any and all liabilities, debts, obligations, costs, expenses, claims, contracts, promises, controversies, demands, damages, representations, interests, equities, losses, actions and causes of action, of whatsoever kind or nature, whether known or unknown, absolute or contingent, liquidated or unliquidated, arising or resulting from or in connection with the parties' marriage or the community assets or debts allocated to Husband under this Agreement.

15.2 Indemnification by Husband. Except as provided in Section 15.3 of this Agreement, Husband shall indemnify Wife and hold her harmless from any income tax liability whatsoever (including penalties and interest thereon), federal or state, attributable to tax years ended prior to January 1, 1988, and from the debts and other liabilities enumerated on Schedule 7.1 and the debts assumed in

Section 9 of this Agreement. Husband shall indemnify Wife and hold her harmless from any income tax liability whatsoever (including penalties and interest thereon), federal or state, attributable to income, earnings or gains required by this Agreement to be separately reported for tax years beginning after December 31, 1987.

15.3 Indemnification by Wife. Wife shall indemnify and hold Husband harmless from the debts and other liabilities assumed in Sections 7.2 and 9 and the debt service payments required by Section 7.3 of this Agreement. In addition, Wife shall indemnify Husband and hold him harmless from any income tax liability determined at his highest marginal 1987 tax rate on \$24,000, which amount is equal to the aggregate amount of the payments to Wife in calendar year 1987 under Section 5 of this Agreement. The amount to be indemnified shall be paid by Wife by offsetting one-fifth (1/5) of such amount against each of five consecutive monthly alimony payments under Section 5 beginning with the first monthly alimony payment due after Husband has paid such taxes. Wife shall indemnify Husband and hold him harmless from any income tax liability whatsoever (including penalties and interest thereon), federal or state, attributable to income, earnings or gains required by this Agreement to be separately reported for tax years beginning after December 31, 1987.

15.4 Inheritance. Each party waives any and all right to inherit the estate of the other party at his or her death, and to take property from the other by devise or bequest (unless under a Will executed subsequent to the date hereof, or unless as beneficiary of an insurance policy or policies or a qualified retirement plan pursuant to a beneficiary designation executed subsequent to the date hereof and in effect at time of death), or to claim any family allowance or probate homestead, or to act as personal representative upon intestacy of the

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other party harmless with respect to any liability caused by the violating party.

17. Miscellaneous Provisions.

17.2 Prior Agreements. This Agreement supersedes all prior agreements between the parties hereto concerning any matters contained herein, including the Court stipulation on September 14, 1987. Any such prior agreements between the parties hereto concerning any of the matters contained herein, whether in writing or otherwise, shall have no force or effect upon and after the date of execution of this Agreement. This Agreement contains the entire understanding of the parties; and there are no representations, promises, warranties, covenants, or undertakings other than those contained herein.

17.3 Attorneys' Fees. The firm of Givens, McDevitt, Pursley, Webb & Buser has represented Wife in the negotiation and drafting of this Agreement, and the firm of Eberle, Berlin, Kading, Turnbow & Gillespie, Chartered has represented Husband in the negotiation and drafting of this Agreement. No presumption shall exist in the favor of or against either party to this Agreement as a result of the drafting of this document by such counsel. In the event suit is instituted by either party to enforce this Agreement, the prevailing party shall be entitled to recover reasonable attorneys' fees and expenses from the other party.

17.4 Execution. This Agreement shall be executed in triplicate. One original will be lodged with the Court as an exhibit to the divorce decree; and one other original shall be delivered to each party.

17.5 Amendment. This Agreement may not be altered, amended or modified except by an instrument in writing signed by both the parties hereto.

17.6 Titles. The section titles used in this Agreement are provided for

IN WITNESS WHEREOF, the parties hereto have executed this Agreement on
the day and year first above written.


REED J. TAYLOR

DONNA J. TAYLOR

APPROVED AS TO FORM:

Givens, McDevitt, Pursley
Webb & Buser, Attorneys
for Wife

By Paul J. Buser, Member of Firm

APPROVED AS TO FORM:

Eberle, Berlin, Kading, Turnbow
& Gillespie, Chartered,
Attorneys for Husband

By 
William J. McKlveen, Member of Firm

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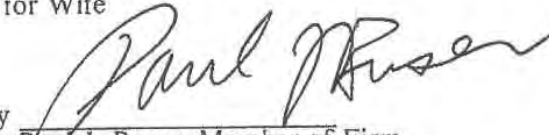
IN WITNESS WHEREOF, the parties hereto have executed this Agreement on the day and year first above written.

REED J. TAYLOR


DONNA J. TAYLOR

APPROVED AS TO FORM:

Givens, McDevitt, Pursley
Webb & Buser, Attorneys
for Wife

By 
Paul J. Buser, Member of Firm

APPROVED AS TO FORM:

Eberle, Berlin, Kading, Turnbow
& Gillespie, Chartered,
Attorneys for Husband

By William J. McKlveen, Member of Firm

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SCHEDULE 1.1

WIFE'S NON-BUSINESS REAL AND PERSONAL PROPERTY

1. The entire right, title, equity and other interest in the Salem, Oregon condominium (subject to a mortgage or deed of trust securing an approximately \$70,000 loan), as more particularly described on Schedule 1.1A, together with the personal property (including, without limitation, appliance, furniture, personal effects, tools, equipment and objects of art) located therein.
2. An undeveloped lot on Priest Lake, more particularly described on Schedule 1.1B.
3. The personal property described on Schedule 1.1C.
4. The 1983 Model 320I BMW automobile, VIN WBAAG3309D9003829, now in Wife's possession.
5. The 1981 Volkswagon Sirroco automobile, VIN WVVCA0532BK025759.

SCHEDULE 1.1 TO PROPERTY SETTLEMENT AGREEMENT - P. 1

SCHEDULE 1.1A

SALEM CONDOMINIUM

COMMON NAME

Salem Condo

STREET ADDRESS

1162 Cayuse Circle
Salem, Oregon 97306

LEGAL DESCRIPTION

Beginning at a point on the East line of Lot 2, Block 2, Kooskooskee (recorded in Volume 37, Page 14, Book of Town Plats, Marion County, Oregon) said point being 17.80 feet South $01^{\circ} 41' 28''$ West 92.00 feet to the West boundary line of Lot 1, Block 2, Kooskooskee; thence South $01^{\circ} 26'$ West 19.14 feet to the Westerly Northwest corner of Lot 2, Block 2, Kooskooskee; thence Southwesterly along the Southwesterly line along the arc of a 36.85 foot radius curve to the left (the chord of which bears South $26^{\circ} 12'$ East 34.18 feet); thence South $53^{\circ} 50'$ East 60.0 feet to the most Southerly Southeast corner of Lot 2, Block 2, Kooskooskee; thence North $26^{\circ} 01' 20''$ East 64.46 feet to an angle point in the East line of said Lot 2, Block 2; thence North $01^{\circ} 26'$ East along the East line of said Lot 2, a distance of 25.20 feet to the point of beginning.

SCHEDULE 1.1A - SALEM CONDOMINIUM

SCHEDULE 1.1B

PRIEST LAKE LOT

COMMON NAME

Priest Lake Property

STREET ADDRESS

Priest Lake, Idaho

LEGAL DESCRIPTION

Lot 4 in Block 1 of Sandpiper Shores, according to the plat thereof,
recorded in Book 3 of Plats, Page 51, records of Bonner County, Idaho.

SCHEDULE 1.1B - PRIEST LAKE LOT

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SCHEDULE 1.1C

1. Barbara Clark water color paintings.
2. Pewter dishes.
3. Pewter silverware.
4. Bedspread (Jay's room).
5. Trampoline (Jud's birthday present).
6. Grand piano.
7. Upright piano.
8. Desk, chair, toys, etc. (Jud), everything in bedroom loft.
9. Set of children's encyclopedias.
10. One couch, two chairs, two ottomans, one coffee table, one end table, one rug.
11. Sara's loft: Shelves (4 made for Sara's dolls), glass shelving from Sara's bedroom and bathroom.
12. One futon base.
13. One book shelf.
14. Outside Christmas light (given to Donna by her mother).
15. One set children's furniture (stove, frig., sink & hutch).
16. One box in cellar (children's toys, miscellaneous).
17. One child's desk (in garage).
18. One child's trike (in garage).

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SCHEDULE 1.2

HUSBAND'S NON-BUSINESS REAL AND PERSONAL PROPERTY

1. The residence located in Lewiston, Idaho, more particularly described on Schedule 1.2A.
2. The interest in the McCall, Idaho condominium more particularly described on Schedule 1.2B.
3. One Thousand Three Hundred Sixty (1360) Shares of Seaport Bancorp, Inc. common stock.
4. One Thousand Five Hundred (1500) Shares of Seaport Bancorp, Inc. preferred stock.
5. One Thousand Five Hundred Fifty (1550) Shares of Twin River National Bank common stock.
6. Limited partnership interest in Josephine Creek Ranch Limited Partnership.
7. Note receivable from Gary Brown.
8. Interest in Utah mining venture.
9. Prints of family photographs.
10. Airplanes; boats; horse trailers; the furniture, appliances, artwork, personal effects, guns, tools, equipment, animals, statuary, trophies and other personal property (except the property itemized on Schedule 1.1C) located at the Lewiston, Idaho residence described on Schedule 1.2A or at the McCall, Idaho condominium described on Schedule 1.2B or at AIA's principal place of business in Lewiston, Idaho; and the right to receive any tax refunds.